

The key to rapid wealth accumulation that allows FI, as demonstrated by “The Shockingly Simple Math,” is to create a greater spread between what you earn and what you spend. The greater the savings rate, the faster you can achieve FI. Wise investing then allows you to grow your wealth and live off investment income indefinitely.

This leads to the three levers available to those looking to achieve FI discussed in the introduction.

1. We can spend less.
2. We can earn more.
3. We can focus on becoming better investors.

All three are valuable. It is important to understand each and have a strategy that fits your personal strengths and weaknesses and enables your desired lifestyle. Still, we have to start somewhere.

Increasing earnings and returns on investments take time—so begin by determining how to spend less. You can start optimizing your spending immediately. Spending less also offers tax advantages that further accelerate your savings rate. We’ll explore this concept in detail in Chapter 6. Finally, achieving some measure of FI creates time and capital that can give you the confidence to